CLOSING STATEMENT

Pelican Cottages | Riverside, CA

Property	Pelican Cottages
Settlement Date	August 19, 2018
Buyer	Whitfield Park Capital
Seller	Orchid Bay Ventures
Sale Price	$23,420,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$23,420,000			
Earnest money deposit		$5,045	$5,045	
Real estate tax proration	$179,964			$179,964
Rent proration			$45,644	
Security deposits assumed	$218,753	$218,753		
Prepaid rents			$57,225	$57,225
Owner's title policy premium	$80,678			
Lender's title policy premium		$47,247	$47,247	
Escrow fee	$33,959			$33,959
Recording fees			$185,733	
Transfer tax	$46,888	$46,888		
Survey			$69,090	$69,090
Legal fees - Buyer	$69,348			
Legal fees - Seller		$128,818	$128,818	
Broker commission	$212,748			$212,748
Loan origination fee			$217,034	
Lender legal	$209,528	$209,528		
Appraisal fee			$50,714	$50,714
Environmental report	$116,784			
Property condition report		$233,117	$233,117	
Tax escrow deposit	$187,998			$187,998
Insurance escrow deposit			$77,355	
Replacement reserve deposit	$225,263	$225,263		
Utility deposits			$91,131	$91,131

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$23,420,000			
Legal fees - Seller		$136,998	$136,998	
Broker commission	$48,014			$48,014
Loan origination fee			$87,868	
Lender legal	$35,027	$35,027		
Appraisal fee			$88,180	$88,180
Environmental report	$89,803			
Property condition report		$180,584	$180,584	
Tax escrow deposit	$27,534			$27,534
Insurance escrow deposit			$190,986	
Replacement reserve deposit	$209,008	$209,008		
Utility deposits			$104,409	$104,409
Assumed vendor contracts credit	$216,287			
Tenant improvement credit		$121,723	$121,723	
Courier / wire fees	$68,819			$68,819
Municipal certificates			$46,938	
Purchase price	$96,277	$96,277		
Earnest money deposit			$97,148	$97,148
Real estate tax proration	$139,254			
Rent proration		$177,163	$177,163	
Security deposits assumed	$141,409			$141,409
Prepaid rents			$77,029	
Owner's title policy premium	$226,864	$226,864		
Lender's title policy premium			$226,527	$226,527
Escrow fee	$101,095			
Recording fees		$102,242	$102,242	
Transfer tax	$21,896			$21,896
Survey			$64,949	

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.79% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $405,000 per home, and the in-house maintenance team handles most work orders within 35 days. Effective gross income for the trailing period was $381,000, representing a 6.0% increase over the prior year.

The going-in capitalization rate of 5.49% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 8.13x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Valuation Discussion

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $164,000 or approximately 12.43 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $227,000, representing a 9.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $85,000 per home, and the in-house maintenance team handles most work orders within 39 days.

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Homes average 1,831 square feet with average monthly rent of $2,759. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.38% reflects the in-place income and the stabilized occupancy assumption.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Operating expenses totaled $24,000 or approximately 44.60 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $215,000 per home, and the in-house maintenance team handles most work orders within 20 days.

The going-in capitalization rate of 7.79% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$23,420,000			
Tenant improvement credit		$139,773	$139,773	
Courier / wire fees	$115,129			$115,129
Municipal certificates			$27,607	
Purchase price	$72,293	$72,293		
Earnest money deposit			$205,511	$205,511
Real estate tax proration	$99,303			
Rent proration		$156,550	$156,550	
Security deposits assumed	$10,811			$10,811
Prepaid rents			$190,063	
Owner's title policy premium	$96,010	$96,010		
Lender's title policy premium			$220,487	$220,487
Escrow fee	$166,171			
Recording fees		$171,060	$171,060	
Transfer tax	$100,797			$100,797
Survey			$8,825	
Legal fees - Buyer	$183,546	$183,546		
Legal fees - Seller			$146,280	$146,280
Broker commission	$190,193			
Loan origination fee		$175,170	$175,170	
Lender legal	$155,666			$155,666
Appraisal fee			$87,015	
Environmental report	$67,247	$67,247		
Property condition report			$159,385	$159,385
Tax escrow deposit	$203,208			
Insurance escrow deposit		$16,133	$16,133	
Replacement reserve deposit	$8,987			$8,987
Utility deposits			$69,023	

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Operating Performance

Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $321,000 or approximately 11.77 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $100,000 per home, and the in-house maintenance team handles most work orders within 32 days. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Operating expenses totaled $452,000 or approximately 43.01 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses.

Income and Expense Review

Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.10% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $26,000, representing a 7.5% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,831 square feet with average monthly rent of $2,759.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Debt service coverage ratio was 6.69x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.14% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.42% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.32x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $459,000 per home, and the in-house maintenance team handles most work orders within 42 days.

Turn costs average $58,000 per home, and the in-house maintenance team handles most work orders within 17 days. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.21% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$23,420,000			
Recording fees		$167,082	$167,082	
Transfer tax	$184,244			$184,244
Survey			$167,784	
Legal fees - Buyer	$52,065	$52,065		
Legal fees - Seller			$7,334	$7,334
Broker commission	$42,439			
Loan origination fee		$52,434	$52,434	
Lender legal	$175,648			$175,648
Appraisal fee			$34,787	
Environmental report	$101,488	$101,488		
Property condition report			$109,914	$109,914
Tax escrow deposit	$216,555			
Insurance escrow deposit		$67,594	$67,594	
Replacement reserve deposit	$201,504			$201,504
Utility deposits			$101,808	
Assumed vendor contracts credit	$58,270	$58,270		
Tenant improvement credit			$189,726	$189,726
Courier / wire fees	$116,072			
Municipal certificates		$91,736	$91,736	
Purchase price	$85,540			$85,540
Earnest money deposit			$176,147	
Real estate tax proration	$75,598	$75,598		
Rent proration			$78,240	$78,240
Security deposits assumed	$188,511			
Prepaid rents		$38,506	$38,506	
Owner's title policy premium	$18,374			$18,374
Lender's title policy premium			$227,151	

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.91x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $128,000, representing a 13.2% increase over the prior year. Operating expenses totaled $185,000 or approximately 6.06 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $298,000, representing a 5.4% increase over the prior year. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.51x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Valuation Discussion

The going-in capitalization rate of 6.97% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $407,000, representing a 9.3% increase over the prior year. Turn costs average $183,000 per home, and the in-house maintenance team handles most work orders within 9 days. Homes average 1,831 square feet with average monthly rent of $2,759. Operating expenses totaled $180,000 or approximately 28.15 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $365,000 or approximately 10.28 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $234,000, representing a 12.2% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Income and Expense Review

Homes average 1,831 square feet with average monthly rent of $2,759. The going-in capitalization rate of 6.18% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $148,000 per home, and the in-house maintenance team handles most work orders within 6 days. Debt service coverage ratio was 7.72x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Operating expenses totaled $443,000 or approximately 39.45 per square foot, with real estate taxes representing the largest line item. Turn costs average $365,000 per home, and the in-house maintenance team handles most work orders within 9 days. Effective gross income for the trailing period was $155,000, representing a 8.2% increase over the prior year. Debt service coverage ratio was 6.93x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,831 square feet with average monthly rent of $2,759.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Pelican Cottages Owner LLC

By: Aisha Moreno Title: President Date: 08/19/2018

_____

Grace Thompson

By: Grace Schmidt Title: Authorized Signatory Date: 08/19/2018

Exhibit A - Property

Pelican Cottages, 1927 University Parkway, Riverside, CA 49233. Parcel containing approximately 16.27 acres, together with all improvements thereon.

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